

What is Startup India Hub?

Startup India Hub is a one-stop platform for all stakeholders in the Startup ecosystem to interact amongst each other, exchange knowledge and form successful partnerships in a highly dynamic environment.

How do Investors add value to Startups?

Investors particularly venture capitalists (VCs) add value to startups in a lot of ways:

- 1. Stakeholder Management:** Investors manage the company board and leadership to facilitate smooth operations of the startup. In addition, their functional experience and domain knowledge of working and investing with startups imparts vision and direction to the company.
- 2. Raising Funds:** Investors are best guides for the startup to raise subsequent rounds of funding on the basis of stage, maturity, sector focus etc. and aid in networking and connection for the founders to pitch their business to other investors.
- 3. Recruiting Talent:** Sourcing high-quality and best-fit human capital is critical for startups, especially when it comes to recruiting senior executives to manage and drive business goals. VCs, with their extensive network can help bridge the talent gap by recruiting the right set of people at the right time.
- 4. Marketing:** VCs assist with marketing strategy for your product/service.
- 5. M&A Activity:** VCs have their eyes and ears open to merger and acquisition opportunities in the local entrepreneurial ecosystem to enable greater value addition to the business through inorganic growth.
- 6. Organizational Restructuring:** As a young startup matures to an established company, VCs help with the right organizational structuring and introduce processes to increase capital efficiency, lower costs and scale efficiently.

Why do Investors invest in Startups?

Investing in startups is a risky proposition, but the low requirement for overhead capital combined with high upside potential, makes it lucrative for investors to put their bets on startups.

The Thomson Reuters Venture Capital Research Index replicated the performance of venture capital industry in 2012 and found that overall venture capital has returned at an annual rate of 20% since 1996 – far outperforming modest returns of 7.5% and 5.9% from public equities and bonds respectively.

How can I register a profile on the hub?

Registering a profile on the hub is a fairly simple process.

- On clicking the “Register” tab on the top right hand corner of the page which you will be directed to our “mygov” platform for authentication where you will be asked to fill details such as your name, email address, etc. This will give you a one time password for verification as well as a link to set a new password.
- Sign in using the login credentials you created in step 1. This will direct you to the Hub where you can select and create the profile of a stakeholder which best defines your role.

How do we connect to enablers after creating a profile?

The system is build to connect you to your relevant stakeholders based on your industry and preferred stage. Under the profile of every enabler there will be an option to “connect/apply”. Upon clicking, a request will be sent to the respective profile for acceptance. Once accepted, you will able to see the enabler as a new connection. Please note that you can connect with upto 3 users per week.

Can a foreign company register under Startup India hub?

Any entity having atleast one registered office in India is welcome to register on the hub as location preferences, for the time being are only created for Indian states. However, we are working on international relations and will soon be able to enable registration for stakeholders from the global ecosystem

I want to share events, tools & templates, reports, blogs, etc. How can I publish these on the Hub?

For publishing content, you can get in touch with us on startupindiahub@investindia.org.in

I have an innovative idea that I want to pursue as a Startup. What guidance can Startup India provide me?

Startup India Learning Program is a free online entrepreneurship program by Startup India. The aim is to help entrepreneurs get their ideas and ventures to the next level through structured learning. The program covers lessons on key areas of starting up by 40+ top founders of India in an extensive 4-Week Program. Interested individuals can enrol for this free course at https://www.startupindia.gov.in/content/sih/en/learning-and-development_v2.html.

For more courses, please visit <https://www.startupindia.gov.in/content/sih/en/reources/l-d-listing.html>.

Further, incubators across India are providing guidance to budding startups. There is a list of incubators listed on the Startup India portal for your reference.

My entity does not have a PAN. Would I be allowed to register it as a ‘Startup’ on the Startup India portal?

Yes, an entity without a PAN can be registered as a Startup on our website. However, it is advised that a valid PAN of the entity is provided at the time of registration

Would a One Person Company (OPC) be eligible to avail benefits under the Startup India initiative?

Yes. One Person Companies are eligible to avail benefits under the Startup India initiative.

Can a foreigner enter into partnership under the LLP Act and get that LLP registered with Startup India?

Yes, a foreign national can enter into partnership under the LLP Act and get that LLP registered on our website. It can even get recognised by the DIPP.

Can I provide two mobile numbers in the registration form?

Only one mobile number and one landline number of the authorized representative of the entity can be provided at the time of registration. The portal and the mobile app would be sending an OTP on the mobile number provided by the user to complete the authentication and registration process.

What are the documents required by Startups to get recognized under the Startup India initiative?

The process of recognition as a 'Startup' is through an online application made over the mobile app/portal at <https://www.startupindia.gov.in/content/sih/en/startupgov/startup-recognition-page.html>.

You will need to upload the incorporation/registration certificate and explain how your startup is working towards innovation, development or improvement of products or processes or services, or its scalability in terms of employment generation or wealth creation.

What is the time-frame for obtaining certificate of recognition as a 'Startup' in case an entity already exists?

The certificate of recognition is issued typically within 2 working days upon successful submission of the application.

If my startup gets recognised, would I obtain a certificate for it? If yes, would I be able to download the certificate?

Yes, if your startup gets recognised, you would be able to download a system generated verifiable certificate of recognition.

What is the constitution of the Inter-Ministerial Board?

The Inter-Ministerial Board setup by Department of Industrial Policy and Promotion validates Startups for granting tax related benefits. The Board comprises of the following members:

- Joint Secretary, Department for Promotion of Industry and Internal Trade, Convener
- Representative of Department of Biotechnology, Member
- Representative of Department of Science & Technology, Member

How would the Inter-Ministerial Board review the applications received for the purpose of tax exemption?

The Board shall review the supporting document(s) provided to ascertain if the entity qualifies as an eligible business for availing tax.

What is the time-frame for obtaining certification of Inter-Ministerial Board for availing tax exemption post successful application?

The Inter- Ministerial Board meeting typically takes place once a month. The cases in the meeting are processed in a serial order. The communication regarding the decision is sent to the registered email address of the Startup.

To regularly follow updates of the IMB meetings, you may refer to the IMB notifications on our website by clicking [here](#).

If a startup has applied for DIPP-recognition and the application gets rejected or marked incomplete due to missing documents or insufficient information, should the startup edit the existing application or submit a new one?

If the application for recognition has been marked incomplete, the startup needs to follow the given steps:

- 1) Log in with their startup credentials on www.startupindia.gov.in
- 2) Select 'Recognition and Tax Exemption' button on the right panel
- 3) Select the 'Edit Application' button and proceed with completing your application

If the application has been marked 'Incomplete' thrice, the application is rejected.

Rejected applications cannot be edited, and a new application can be submitted after three months from the date of communication of the rejection email.

How do Startups connect with a mentor/ investor?

A startup is allowed to send 3 connection requests each week. This is done by simply clicking on the "connect" button on the mentor's profile. Once you accept a connection request, the startup can reach out to you through a simple chat interface. You can know more about the Startup which has connected with you by clicking on their profile and reading up about them.

How do you make sure I don't get spammed?

While we encourage more engagement on the platform, we can understand that access to high quality mentors investor like yourself can be overwhelming for some Startups, which may lead to them spamming. To ensure Startups are conservative and careful with the mentor/ investor requests, we restrict each Startup to 3 connection requests each week.

Can I get access to additional resources which can further aid my mentorship support to the Startup?

To aid in your mentoring journey, we have pooled together a vast repository of resources ranging from plug and play templates to Market research reports which can help both mentor and Startup gauge the opportunity at their disposal better. Feel free to navigate through our repository of resources on the top ribbon of the portal.

Do I get any kind of recognition for being an active mentor/ investor on the portal?

To showcase our gratitude towards our mentor's contribution to India's startup eco system, depending on the quarterly feedback from our Startups, we share commendation letters. Feel free to flaunt these across your social platforms and don't forget to tag us!

What is my role as a Mentor on the Hub?

As a Mentor, you have access to all registered startups across all stages on the Hub. The startups may connect with you through a connection request, post which you can provide your expert advice to the startup on its next steps. To know more, kindly go to the [Mentor's Section](#)

How do I register as a Mentor/ Investor on the Hub?

Registering a profile on the Startup India website is a fairly simple process:

- Simply click on 'Register' and fill in the details as required in the registration form. An OTP will be sent to your registered email address, post submitting which your profile will get created.
- You will have an option to select your profile type. Select "Enabler" as your persona type, post which you'll be asked to specify what type of enabler you are. Select mentor / investor in the drop down box depending on your objective. The profile goes under moderations for 24-48 hrs, and once our Quality assurance team has done a preliminary check on your mentor creds, your profile is made live

What is the procedure to claim reimbursement by patent facilitators to services offered to startups?

After a patent application is received by the Patent Office, the facilitator shall submit the claim for fees as per the fee schedule given in SIPP Scheme. A letter addressed to the Head of Office of the respective Patent Office, giving details of claimed fee for drafting of application and his ID proof as a registered Patent Agent, shall be submitted along with the invoice.

What is the procedure to claim reimbursement by Trademark facilitators to services offered to startups?

The facilitator shall submit the claim for payment of fees to the respective Head of Office of the Trade Marks Registry. A letter addressed to the Head of Office of the respective Trade Mark Office, giving details of claimed fee for drafting of application and his ID proof as a registered Trade Mark Agent, shall be submitted along with the invoice.

What factors are considered by the Investors to invest in startups?

Different investors use different criteria to judge an investment. The importance of these factors would vary depending on the stage of investment, sector of startup, management team etc. Listed below are typical investment criteria used by investors:

1. Market Landscape: Refers to the addressable market which the startup is catering to.

Factors: Market size, obtainable market-share, adoption rate, historical and forecasted growth rates, macroeconomic drivers, demand supply

2. Scalability and Sustainability: Startups should showcase the potential upscale in the near future, a sustainable and stable business plan.

Factors: Barriers to entry, imitation costs, growth rate, expansion plans

3. Objective and Problem Solving: The offering of the startup should be differentiated to solve a unique customer problem or to meet customer need. Ideas or products that are patented showcase deemed potential in the startups.

4. Customers & Suppliers: Laying out your customers and suppliers, helps investors understand your business better.

Factors: Customer relationships, stickiness to the product, vendor terms, existing vendors

5. Competitive Analysis: A true picture of competition and other players in the market working on similar things should be highlighted. There can never be an apple to apple comparison, but highlighting the service or product offerings of similar players in the industry is important

Factors: Number of players in the market, market share, obtainable share in the near future, product mapping to highlight similarities or differences between competitor offerings

6. Sales and Marketing: No matter how good your product or service maybe, but if does not find any end use, there is no good.

Factors: Sales forecast, targeted audiences, marketing plan for the target, conversion and retention ratio etc.

7. Financial Assessment: A detailed business model that showcases the cash inflows over the years, investments required, key milestones, break-even point and growth rates should be made out well. Assumptions used at this stage should also be reasonable and clearly mentioned.

See sample valuation template [here](#) (to be sourced under templates section)

8. Exit Avenues: A startup showcasing potential future acquirers or alliance partners becomes a valuable decision parameter for the investor

9. Management and Team: The execution and passion of founder and the management team to drive the company are equally crucial in addition to the all the factors mentioned above

How do Investors earn returns from investing in Startups?

Investors realize their return on investment from startups through various means of exit. Ideally, the VC firm and the entrepreneur should discuss the various exit options at the beginning of investment negotiations. A well performing, high-growth startup that also has excellent management and organisational processes is more likely of being exit-ready earlier than other startups.

Venture Capital and Private Equity funds must exit all their investments before the end of the fund's life. The common exit methods are:

- 1. Mergers and Acquisitions:** The investor may decide to sell the portfolio company to another company in the market. For ex: The \$140mn acquisition of RedBus by South African Internet and media giant Naspers and integrating it with its India arm Ibibo group, presented an exit option for its investors, Seedfund, Inventus Capital Partners and Helion Venture Partners.
- 2. IPO:** Initial Public Offering is the first time that the stock of a private company is offered to the public. Issued by private companies seeking capital to expand, it is one of the preferred options for investors looking to exit a startup organisation.
- 3. Exit to Financial Investors:** Investors may sell their investment to other venture capital or private equity firms
- 4. Distressed Sale:** Under financially stressed times for a startup company, the investors may decide to sell the business to another company or a financial institution
- 5. Buybacks:** Founders of the startup may also buyback their investment from the fund.

What is a Term Sheet?

A term sheet is a “Non-binding” list of propositions by a venture capital firm at the beginning stages of a deal. It summarizes the major points of engagements in the deal between the investment firm and the startup.

A term sheet for a venture capital transaction in India typically includes four structural provisions: valuation, investment and management structures, and changes to share capital.

- 1. Valuation:** Startup valuations is the total worth of the company as estimated by a professional valuer. There are various means of valuing a startup company, like Cost to Duplicate approach, Market Multiple approach, Discounted cash flow (DCF) analysis and Valuation-by-Stage approach. Investors choose the relevant approach based on the stage of the investment and market maturity of the startup.
- 2. Investment Structure:** It defines the mode of the venture capital investment in the startup, whether it is through equity, debt or a combination of both.
- 3. Management Structure:** The term sheet details out the management structure of the company, including the composition of the board of directors, and prescribed appointment and removal procedures.
- 4. Changes to share capital:** All investors in startups have their own investment timelines, and they accordingly seek flexibility in seeking exit options through subsequent rounds of funding. The term sheet addresses the stakeholders’ rights and obligations in respect to subsequent changes in the company’s share capital.